

	material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. [Citation.]” (<i>LiMandri v. Judkins</i> (1997) 52 Cal.App.4th 326, 336.) The court in <i>Dhital v. Nissan North America</i> considered this principle in the context of consumers purchasing a manufacturer’s vehicle and held the plaintiff consumer need not allege a transaction with the manufacturer to allege a duty to disclose. Specifically, the <i>Dhital</i> court concluded allegations that the plaintiffs bought a vehicle from a Nissan dealership that was backed by an express warranty from Nissan, and that Nissan’s authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers, was sufficient at the demurrer stage to support a duty to disclose. (<i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828, 844, <i>petition for review granted</i> (2023) 523 P.3d 392 and dismissed and remanded, 559 P.3d 1083, 2024 WL5162583 (Dec. 18, 2024).)¹ Moreover, where a manufacturer partners with the seller by offering an express warranty as part of the sales package, that manufacturer steps into the role of a retailer. (<i>See e.g., Kiluk v. Mercedes-Benz USA, LLC</i> (2019) 43 Cal.App.5th 334, 337, 343 [manufacturer stepped into the role of the distributor and retail seller by issuing an express warranty in sale of used vehicle].) The Complaint here alleges sufficient facts from which the court may reasonably construe the warranty contract was executed as part of the sales package for the purchase of a new vehicle manufactured by Defendant TMS. (<i>See</i> Compl. ¶ 7, Ex. A.) The Complaint alleges facts supporting Defendant TMS’s exclusive knowledge of the alleged Battery Defect, including that Defendant TMS was aware that the vehicle was equipped with a defective battery and actively concealed these material defects from the public. (Compl. ¶¶ 63-72.) Defendant was in a superior position from various internal sources to know of the facts surrounding the material defects. (Compl. ¶ 69(b).) These allegations are sufficient to establish a duty to disclose.
--	--

¹ Neither the order granting review nor dismissing the review affects the publication status of the *Dhital* opinion. (*See* Cal. Rules Ct., Rule 8.1115(e)(2) [providing that unless otherwise ordered by the Supreme Court, a published opinion by the appellate court on review by the Supreme Court remains citable and has binding or precedential effect, except to the extent it is inconsistent with the decision of the Supreme Court or disapproved by that court], Rule 8.528(b)(3) [providing a Cal. Supreme Court order “dismissing review does not affect the publication status of the Court of Appeal opinion unless the Supreme Court orders otherwise”].)

Reliance and Damages

Defendant TMS does not challenge the sufficiency of pleading the reliance and damages, and the court finds the Complaint alleges sufficient facts to support these elements. (*See, e.g.*, Compl. ¶¶ 72, 74.)

In sum, the court finds the allegations sufficient to support each element of the fraudulent concealment claim.

No later than 10 days after service of the notice of ruling, Defendant TMS shall file and serve an answer or other response to the Complaint. (Cal. Rules Ct., Rule 3.1320(g).)

Motion 2. Motion to Strike Portions of Complaint

Defendant Toyota Motor Sales, U.S.A., Inc., (“TMS”) moves to strike the prayer for punitive damages in the Complaint of Plaintiff Thach D. Hoang. For the following reasons, the motion is DENIED.

Request for Judicial Notice

The court DENIES as unnecessary Defendant TMS’s request for judicial notice. (*See Zucchet v. Galardi* (2014) 229 Cal.App.4th 1466, 1474, fn. 5 [citing *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6].)

Timeliness

The court exercises its discretion to consider the late-filed motion to strike, given the unique procedural history in this action.

Standard on Motion to Strike

The grounds for a motion to strike must appear on the face of the pleading or matters from which the court may judicially notice. (Code Civ. Proc., § 437.) Pursuant to Code of Civil Procedure Section 436 the court may, upon a motion made or at any time in its discretion, strike out “any irrelevant, false, or improper matter inserted in any pleading.” A motion to strike, however, is not “a procedural ‘line item veto’ for the civil defendant.” (*PH II, Inc. v. Superior Ct.* (1995) 33 Cal.App.4th 1680, 1683.) In a motion to strike, the court reads the complaint as a whole, considering all parts in their context, and must assume the truth of all well-pleaded allegations. (*Courtesy Ambulance Serv. v. Superior Court* (1992) 8 Cal.App.4th 1504, 1519.)

		<u>Punitive Damages</u> Defendant TMS contends that the Complaint fails to allege facts supporting a claim of oppression, fraud, or malice, and Plaintiff does not allege that any officer, director, or managing agent of TMS committed, authorized, or ratified any such conduct. To plead a claim to recover punitive damages, a plaintiff must plead and show one of the following bases for imposition of exemplary damages, i.e. malice, oppression, or fraud. (Civ. Code, § 3294(a), (c).) To plead a claim to recover punitive damages against an employer based on the acts of an employee, a plaintiff must plead facts showing the employer “had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud or malice. With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or [wrongful] act must be on the part of an officer, director, or managing agent of the corporation.” (Civ. Code, § 3294(b).) At the pleading stage, the complaint may rely on ultimate facts of fraud, oppression or malice. (<i>Spinks v. Equity Residential Briarwood Apartments</i> (2009) 171 Cal.App.4th 1004, 1055.) Here, the Complaint alleges sufficient facts to support the punitive damages claim, including fraudulent concealment and actions on the part of an officer, director, or managing agent of Defendant TMS. (See FAC ¶¶ 61-73.) No later than 10 days after service of the notice of ruling, Defendant TMS shall file and serve an answer or other response to the Complaint. Plaintiff to give notice.
6	Gencal Newport Lido, LLC vs. Restor Physical Therapy, Inc.	OFF CALENDAR